AC4409

Corporate Financing

Winter 2025 Examination

Paper 1 · 1.5 hours · Answer ANY TWO of three questions · Show ALL workings

Module	AC4409 — Corporate Financing
Session	Winter 2025
Structure	Three questions, each worth 50 marks. Answer any two — all questions carry equal weight.
This scheme covers	All three questions in full — Q1, Q2, *and* Q3 — so you can study every possible pairing, not just the two you'd pick on the day

Own-figure rule. If you carry an early error into a later part of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps. This applies throughout the cost of capital workings in Question 1.

A note on Question 1(e). Two standard techniques exist for finding the new cost of equity after a change in capital structure: relevering the CAPM beta (Hamada, assuming debt is riskless), or applying Modigliani-Miller Proposition II with taxes directly using the bond's actual yield. This scheme uses the MM Proposition II approach as the primary method, since it makes direct use of the cost of debt calculated in part (b) — see the checknote in Question 1(e) for the full reasoning and the alternative method.

Question 1

Freshfields — Cost of Capital & Capital Structure (50 Marks)

Freshfields operates in the food sector in the UK. It is considering a leveraged share repurchase where it will issue debt and use the proceeds to purchase some of its shares. Some relevant information about its current capital structure is here:

- 6,000,000 ordinary shares trading at £7.40
- 1,000,000 7% preference shares with a nominal value of £10, trading at £14.00
- £100 bonds with 20 years to maturity. These bonds have a nominal value of £20,000,000, a coupon rate of 6% and trade at £104.

The yield on government bonds is 2%. Freshfields's beta is estimated at 1.3. The market risk premium is 5%.

The marginal rate of corporation tax is 30%.

The repurchase proposal is to issue £20,000,000 in £100 bonds, at the same yield as current debt and use the proceeds to reduce the ordinary equity of the firm. You may ignore the effects of any transaction costs in your answer.

Part (a) — 5 Marks

Required: Estimate Freshfields' current cost of equity.

FULL MODEL ANSWER

The risk-free rate, beta and market risk premium are all given, so this is a direct application of the Capital Asset Pricing Model:

$K_e = R_f + \beta(MRP)$	
$K_e = 2\% + 1.3 \times 5\%$	
$K_e = 2\% + 6.5\%$	
$K_e = 8.50\%$	

How the 5 Marks Are Likely Allocated

Tier	Marks	What separates this tier
4-5	4–5	Correctly applies CAPM with all three inputs and arrives at 8.50%.
2-3	2–3	Correct formula but a slip in arithmetic, or the market risk premium confused with the market return.
0-1	0–1	No attempt, or the wrong formula used entirely.

Part (b) **5 Marks**

Required: Estimate Freshfields’ after-tax cost of debt.

FULL MODEL ANSWER

The coupon rate (6%) is **not** the cost of debt — since the bond trades at £104, not at its £100 par value, the actual cost of debt is the yield to maturity (YTM): the discount rate that equates the bond's future cash flows to its current market price.

£104 = £6 × annuity factor(r, 20 yrs) + £100 × $(1+r)^{-20}$	
Solving for r (by trial and error, financial calculator, or interpolation)	
YTM (pre-tax cost of debt) ≈ 5.66%	

After-tax cost of debt = YTM × (1 − tax rate)	
= 5.66% × (1 − 0.30)	
= 3.96%	

A common error is using the 6% coupon rate directly as the cost of debt — that's only correct if the bond trades exactly at par. Since it trades above par (£104), the market is pricing it to yield *less* than the coupon rate, so the true pre-tax cost of debt (5.66%) is lower than the coupon (6%). Interpolating between two trial discount rates (e.g. 5% and 6%) to approximate the YTM by hand is an acceptable and expected method under exam time pressure, and should land close to this figure.

How the 5 Marks Are Likely Allocated

Tier	Marks	What separates this tier
4–5	4–5	Recognises the coupon rate isn't the cost of debt, correctly sets up and solves (or closely approximates by interpolation) for the YTM, and applies the tax shield correctly.
2–3	2–3	Correct method but an approximation that lands further from 5.66%, or the tax adjustment applied to the coupon rate instead of the YTM.
0–1	0–1	Uses the 6% coupon rate directly as the cost of debt with no adjustment for the bond's market price.

Part (c) — 5 Marks

Required: Estimate Freshfields' cost of preference equity.

FULL MODEL ANSWER

Preference shares pay a fixed dividend in perpetuity, so their cost is simply the dividend divided by the current market price:

Preference dividend per share = 7% × £10 nominal	£0.70
K_p = Preference dividend ÷ market price	
K_p = £0.70 ÷ £14.00	
K_p = 5.00%	

The 7% coupon rate is calculated on the £10 **nominal** value, not the £14.00 market price — a frequent mix-up is dividing 7% straight through as if it were already the market yield. Because the shares trade above their nominal value, the actual cost to the company (5.00%) is lower than the nominal coupon rate (7%).

How the 5 Marks Are Likely Allocated

Tier	Marks	What separates this tier
4–5	4–5	Correctly calculates the £0.70 dividend from the nominal value and divides by the market price to reach 5.00%.
2–3	2–3	Correct formula but dividend calculated on the wrong base (market price instead of nominal value).
0–1	0–1	Uses the 7% coupon rate directly as the cost of preference equity.

Part (d)

5 Marks

Required: Estimate Freshfields' Weighted Average Cost of Capital.

FULL MODEL ANSWER

WACC weights each source of capital by its **market** value (never book/nominal value), using the costs calculated in parts (a)–(c):

Market Values

Source	Calculation	Market value £
Equity	6,000,000 × £7.40	44,400,000
Preference shares	1,000,000 × £14.00	14,000,000
Debt	200,000 bonds × £104	20,800,000
Total (V)		**79,200,000**

WACC

Source	Weight	Cost	Weight × Cost
Equity	56.06%	8.50%	4.76%
Preference	17.68%	5.00%	0.88%
Debt (after tax)	26.26%	3.96%	1.04%
WACC			**6.69%**

Weights must be based on **market** values (as used here), not the nominal/book values quoted in the balance sheet — using book values for the weights is one of the most common errors in WACC questions and would materially change the answer here, since the preference shares and bonds both trade well above their nominal values.

How the 5 Marks Are Likely Allocated

Tier	Marks	What separates this tier
4–5	4–5	Correctly calculates all three market values, correctly weights each cost of capital component, and arrives at 6.69% (or the equivalent own-figure result carried through from parts (a)-(c)).
2–3	2–3	Correct method but weights based on nominal/book values instead of market values, or one component's market value miscalculated.
0–1	0–1	No attempt, or the three costs simply averaged with no weighting at all.

Part (e) **5 Marks**

Required: Estimate Freshfields’ cost of equity if it issues debt to repurchase equity as proposed above.

FULL MODEL ANSWER

Issuing £20,000,000 of new debt to repurchase equity increases financial leverage, which increases the risk borne by remaining shareholders and therefore their required return. The standard tool for this is **Modigliani-Miller Proposition II with taxes**, which relates the levered cost of equity to the unlevered (asset) cost of equity:

K_e(levered) = K_e(unlevered) + [K_e(unlevered) − K_d] × (D/E) × (1−T)	

Step 1 — Unlever the current cost of equity

Rearranging the formula above using the *current* figures (K_e = 8.50% from part (a), K_d = 5.66% pre-tax from part (b), D = £20,800,000, E = £44,400,000):

Current D/E = 20,800,000 ÷ 44,400,000	0.4685
K_e(unlevered) = [K_e(L) + K_d × (D/E) × (1−T)] ÷ [1 + (D/E) × (1−T)]	
= [8.50% + 5.66% × 0.4685 × 0.70] ÷ [1 + 0.4685 × 0.70]	
K_e(unlevered) = 7.80%	

Step 2 — Re-lever at the new capital structure

	£
New debt (existing 20,800,000 + new 20,000,000)	40,800,000
New equity (existing 44,400,000 − 20,000,000 used to repurchase)	24,400,000
New D/E = 40,800,000 ÷ 24,400,000	**1.6721**

K_e(new) = K_e(unlevered) + [K_e(unlevered) − K_d] × $(D/E)_{new}$ × (1−T)	
= 7.80% + [7.80% − 5.66%] × 1.6721 × 0.70	
K_e(new) ≈ 10.30%	

An equally valid alternative method is to relever the CAPM **beta** directly using the Hamada equation ($\beta_L = \beta_U \times [1+(D/E)(1-T)]$), then apply CAPM to the new beta. That approach implicitly assumes debt carries no systematic risk (equivalent to treating the cost of debt as the risk-free rate for relevering purposes), and gives a different answer (≈12.6%) because Freshfields's actual cost of debt (5.66%) is well above the risk-free rate (2%) used in that method. The MM Proposition II approach shown above is preferred here because it uses the actual cost of debt calculated in part (b), rather than assuming debt is risk-free — but a fully worked Hamada-beta answer, clearly labelled as using that alternative assumption, should still earn full marks under the own-figure rule.

How the 5 Marks Are Likely Allocated

Tier	Marks	What separates this tier
4–5	4–5	Correctly unlevers the current cost of equity using MM Proposition II (or Hamada beta, clearly and consistently applied), correctly computes the new D/E ratio, and re-levers to arrive at a consistent new cost of equity above the original 8.50% (reflecting increased financial risk).
2–3	2–3	Correct concept (leverage increases cost of equity) but an error in the unlevering or relevering arithmetic, or the new D/E ratio miscalculated.
0–1	0–1	No attempt, or assumes the cost of equity is unchanged by the change in leverage.

Part (f) **25 Marks**

Required: In your view, what are the factors a firm should consider when deciding what the optimal capital structure is? Discuss with reference to relevant academic literature.

FULL MODEL ANSWER

There's no single formula for the "optimal" capital structure — the academic literature has developed several competing (and complementary) theories, each highlighting different real-world factors a firm should weigh.

The tax shield vs. the cost of financial distress — the trade-off theory. Modigliani and Miller's original (1958) irrelevance proposition showed capital structure wouldn't matter in a frictionless world with no taxes, no bankruptcy costs, and symmetric information. Once corporate tax is introduced (Modigliani and Miller, 1963), debt gains a clear advantage: interest is tax-deductible, so higher leverage increases the after-tax cash flows available to investors — exactly the mechanism tested numerically in part (b) and (e) above. But this doesn't imply firms should gear up to 100% debt: as leverage rises, so does the probability of financial distress and bankruptcy, and the associated direct costs (legal and administrative fees) and indirect costs (lost customers, suppliers demanding cash terms, key staff leaving, underinvestment as management becomes distracted by survival rather than value creation). The trade-off theory says the optimal capital structure balances the marginal tax benefit of an extra unit of debt against the marginal expected cost of distress it creates — implying an interior optimum rather than a corner solution of all-debt or all-equity.

Agency costs cut both ways, and that shapes the trade-off further. Jensen and Meckling (1976) identified two competing agency problems. Too little debt (all-equity financed) can let managers pursue their own interests at shareholder expense — empire-building, overinvestment in low-return projects, or simply insufficient discipline — a problem Jensen (1986) later formalised as the "free cash flow" hypothesis, where debt's fixed repayment obligation forces managers to disgorge cash rather than waste it. But too much debt creates a different agency problem between shareholders and debtholders: shareholders of a highly levered firm have an incentive to take on excessively risky projects (since they capture the upside while debtholders bear more of the downside), and debtholders price this risk in through higher required yields, raising the firm's cost of debt. A firm choosing its capital structure has to weigh both agency effects, not just the first.

What insiders signal to the market by their financing choice matters, independent of the capital raised. Myers and Majluf (1984) showed that when managers know more about firm value than outside investors, issuing new equity can be read by the market as a signal that management believes the shares are overvalued — which is why equity issue announcements are typically followed by a negative share price reaction in practice. This asymmetric information problem leads directly to the **pecking order theory** (Myers, 1984): firms prefer to finance new investment first from internal funds (retained earnings), then from debt, and only turn to new equity as a last resort. Under this view there's no single "optimal" target ratio at all — the observed capital structure is simply the cumulative outcome of a firm's past financing decisions made in this pecking order, rather than the result of actively targeting a specific mix.

Firm-specific and industry characteristics constrain what's practically achievable. Beyond the pure theory, practical factors shape what capital structure a specific firm can sustain: asset tangibility (firms with tangible, redeployable assets that can serve as collateral can generally support more debt than firms whose value rests on intangible growth options, since lenders can recover more in the event of default); earnings volatility and business risk (a firm with stable, predictable cash flows — a regulated utility, for instance — can service more fixed debt obligations safely than a cyclical or early-stage firm); and industry norms, since lenders and rating agencies often benchmark a firm's leverage against sector peers, and deviating significantly can itself raise the cost of capital.

Control and flexibility considerations also weigh on the decision. Issuing new equity dilutes existing shareholders' control, which is a significant deterrent for closely-held or founder-controlled firms in particular. Debt, by contrast, preserves control but reduces financial flexibility — a highly levered firm has less spare debt capacity to respond to unexpected opportunities or shocks, and may face restrictive covenants limiting future decisions. A firm weighing its optimal structure has to consider not just the current cost/benefit trade-off, but how much flexibility it wants to preserve for future financing needs.

A strong answer doesn't just list these theories in isolation — it recognises they often point in different directions (trade-off theory implies an active target ratio; pecking order implies capital structure is a by-product of financing history, not a target at all) and shows awareness that real-world firms likely blend elements of each rather than mechanically following one model.

How the 25 Marks Are Likely Allocated

Tier	Marks	What separates this tier
19–25	19–25	Engages substantively with at least three distinct strands of the literature (trade-off theory, agency costs, pecking order/signalling), correctly attributes the key ideas to their sources, connects the theory to practical firm-specific factors, and shows awareness that the theories can conflict rather than simply listing them side by side.
13–18	13–18	Covers two or three theories accurately but with limited depth, or doesn't engage with how the theories relate to (or conflict with) each other.
7–12	7–12	General discussion of debt vs. equity trade-offs (tax shield, bankruptcy risk) without specific reference to named theories or their originators.
0–6	0–6	Minimal or generic discussion with no real engagement with capital structure theory.

Question 1 Total: 50 Marks

Question 2

Dividend Valuation, PVGO & Dividend Policy (50 Marks)

Part (a)(i)

10 Marks

Steady Eddie Company intends to pay a dividend of €6 per share which will represent 100% of earnings. The return on equity (ROE) is 11%. As an investor you require a return of 8% for investing in the company.

(i) Calculate the current share price if the company pays out all the earnings as dividends with no growth.

FULL MODEL ANSWER

With a 100% payout ratio, the plowback (retention) rate is zero, so growth is zero — the whole return on equity is irrelevant to this part, since none of the earnings are being reinvested. The share is simply valued as a level (no-growth) perpetuity of dividends:

$P_0 = D \div r$
$P_0 = €6 \div 8\%$
P_0 = €75.00

The 11% ROE is a distractor for this specific part — it only becomes relevant once the company starts retaining earnings (part (ii)). With zero retention, ROE has no bearing on the valuation at all, since no capital is being reinvested at that rate of return.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Recognises this as a zero-growth perpetuity and correctly divides the dividend by the required return to reach €75.00, without incorrectly involving the ROE.
5–7	5–7	Correct formula but the ROE is mistakenly worked into the calculation somewhere.
0–4	0–4	No attempt, or the wrong formula (e.g. Gordon growth with a non-zero growth rate) applied despite the 100% payout.

Part (a)(ii)

10 Marks

(ii) Calculate the present value of growth opportunities (PVGO) if the company increases the plowback rate from 0 to 35%.

FULL MODEL ANSWER

PVGO is the difference between the share's value *with* the growth opportunity and its value with no growth (the €75.00 found in part (i)):

Step 1 — The new dividend and growth rate

New payout ratio = 1 − plowback rate = 1 − 35%	65%
D_1 = EPS × payout = €6 × 65%	€3.90
g = plowback rate × ROE = 35% × 11%	3.85%

Step 2 — Share price with growth (Gordon Growth Model)

$P_0 = D_1 \div (r - g)$
P_0 = €3.90 ÷ (8% − 3.85%)
P_0 = €3.90 ÷ 4.15%
P_0 = €93.98

Step 3 — PVGO

	€
Share price with the growth opportunity	93.98
Less: share price with no growth (part (i))	(75.00)
PVGO	**18.98**

PVGO being positive confirms the growth opportunity is genuinely value-creating: it's only positive when the return on the reinvested earnings (ROE, 11%) exceeds the investor's required return (r, 8%). If ROE were below 8%, retaining more earnings would actually *destroy* value and PVGO would be negative — reinvestment only helps if it earns more than what shareholders could get elsewhere for the same risk.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly calculates the new dividend and growth rate, applies the Gordon Growth Model correctly, and subtracts the no-growth value from part (i) to reach PVGO of €18.98.
5–7	5–7	Correct method with one calculation error (e.g. using EPS instead of D1, or an error in the growth rate) carried through under the own-figure rule.
0–4	0–4	No attempt, or doesn't understand PVGO as the difference between the two valuations.

Part (b) **10 Marks**

Growth Company has net income in the year to December 2025 of €40m. It has 50 million shares in issue and has an investment requirement of €20m in the coming financial year and a target debt to value ratio of 40%. Based on the residual model of dividends, what level of dividend should the company pay?

FULL MODEL ANSWER

Under the residual dividend model, the company first funds its capital budget (in line with its target capital structure), and pays out whatever net income is left over as dividends — dividends are the "residual," not the primary decision.

Step 1 — How much of the investment needs equity financing?

	€
Total investment requirement	20,000,000
Target equity proportion (1 − 40% target debt ratio)	60%
Equity portion of the capital budget (20,000,000 × 60%)	**12,000,000**

Step 2 — The residual available for dividends

	€
Net income	40,000,000
Less: equity portion of capital budget (funded from retained earnings)	(12,000,000)
Residual available for dividends	**28,000,000**

Dividend per share = €28,000,000 ÷ 50,000,000 shares
Dividend per share = €0.56

The remaining 40% of the €20m investment (€8,000,000) is assumed funded by new debt, consistent with the target 40% debt-to-value ratio — the residual model only determines how much of net income is retained as the *equity* financing for the capital budget; it doesn't require the company to fund the whole investment from equity alone.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly identifies the equity-financed portion of the capital budget using the target debt ratio, correctly subtracts it from net income to find the residual, and divides by shares in issue to reach €0.56 per share.
5–7	5–7	Correct method but applies the debt ratio the wrong way (e.g. treating 40% as the equity proportion rather than the debt proportion).
0–4	0–4	No attempt, or pays out the full net income as a dividend with no regard for the investment requirement.

Part (c) **20 Marks**

Required: Outline the factors a firm should consider when deciding on its dividend policy.

FULL MODEL ANSWER

Like capital structure, dividend policy has no single "correct" answer in theory (Modigliani and Miller, 1961, showed dividend policy is irrelevant to firm value under perfect market assumptions) — but real-world frictions mean the choice matters in practice, and a firm should weigh several factors:

Investment opportunities and the residual approach. As shown numerically in part (b), a firm with strong positive-NPV investment opportunities should generally prioritise funding them internally before paying dividends, since retained earnings are typically the cheapest source of financing (no issuance costs, no signalling problems). A firm in a high-growth phase with abundant investment opportunities would rationally pay a low or zero dividend; a mature firm with fewer growth opportunities has less reason to retain cash and can return more to shareholders.

Clientele effects and investor preferences for stability. Different groups of investors have different preferences — retirees and income funds often favour stable, predictable dividend income, while growth-oriented investors may prefer capital gains (and the tax deferral that comes with them) over dividends. Firms tend to attract a "clientele" suited to their existing payout policy, and abrupt policy changes can trigger unwanted shareholder turnover as the clientele that self-selected into the stock no longer fits.

The signalling content of a dividend change. Because dividends are sticky and firms are reluctant to cut them, markets treat a dividend increase as a credible signal of management's confidence in sustainably higher future earnings, and a cut as a strongly negative signal (Bhattacharya, 1979; Miller and Rock, 1985). This asymmetric information effect means a firm should think carefully before changing its payout, since the market reaction can be disproportionate to the actual cash amount involved.

Dividend stability and smoothing behaviour (Lintner's model). Lintner's (1956) classic empirical finding was that firms adjust dividends only partially towards a long-run target payout ratio, smoothing changes over several years rather than resetting the dividend to match each year's earnings exactly. Firms should consider whether a stable, gradually-adjusting dividend (which avoids the negative signalling risk of a cut in a bad year) suits their earnings volatility better than a strict fixed-payout-ratio policy that would require frequent adjustment.

Taxation of dividends versus capital gains. Where dividends and capital gains are taxed differently for the investor base a company actually has, this can create a preference for one form of payout over the other — and where share buybacks are available as an alternative to cash dividends, tax treatment often influences which distribution method a firm chooses, since buybacks can let investors who don't participate defer any tax liability.

Liquidity, debt covenants, and legal/contractual constraints. A firm needs sufficient free cash to actually pay the dividend it declares — profitability on paper doesn't guarantee cash availability. Loan agreements frequently include covenants restricting dividend payments above a certain threshold to protect lenders, and company law in most jurisdictions restricts dividends to distributable reserves. Both act as hard constraints on what's actually payable, regardless of what theory might otherwise recommend.

A strong answer recognises that these factors can conflict — a firm with great investment opportunities but an income-focused shareholder base faces a genuine tension between the residual model's recommendation and its clientele's expectations — rather than presenting the factors as if they always point in the same direction.

How the 20 Marks Are Likely Allocated

Tier	Marks	What separates this tier
15–20	15–20	Covers at least four to five genuinely distinct factors in depth, correctly references the relevant literature (Lintner, Miller and Modigliani, signalling theory) where appropriate, and shows awareness that the factors can pull in different directions for a given firm.
10–14	10–14	Covers three or four factors accurately but with thinner explanation or without reference to the underlying academic literature.
5–9	5–9	General discussion of dividend policy considerations without specific, named factors or theoretical grounding.
0–4	0–4	Minimal or generic discussion with little real engagement with the question.

Question 2 Total: 50 Marks

Question 3

Working Capital, Financing Tools & the CFO's Financing Decision (50 Marks)

Part (a)

10 Marks

Required: Describe the cash conversion cycle. How can a company Chief Financial Officer (CFO) use this to manage working capital requirements?

FULL MODEL ANSWER

The cash conversion cycle (CCC) measures how long, in days, cash is tied up in operations before it's converted back into cash from customers — the gap between when a company pays its suppliers and when it collects from its customers.

CCC = Days Inventory Outstanding (DIO) + Days Sales Outstanding (DSO) − Days Payables Outstanding (DPO)

Days Inventory Outstanding (DIO): how long inventory sits before being sold. Calculated as (average inventory ÷ cost of goods sold) × 365. The longer stock sits on the shelf or in the warehouse, the longer cash is tied up in unsold goods before it can be converted to a sale.

Days Sales Outstanding (DSO): how long it takes to collect cash from customers after a sale. Calculated as (average trade receivables ÷ credit sales) × 365. A longer collection period means cash that's already been earned on paper (revenue recognised) is still sitting with the customer rather than in the company's bank account.

Days Payables Outstanding (DPO): how long the company itself takes to pay its own suppliers. Calculated as (average trade payables ÷ cost of goods sold) × 365. Unlike the other two components, a *longer* DPO is generally favourable for cash — it means the company is effectively being financed by its suppliers for longer, reducing the amount of its own cash tied up in the cycle.

How a CFO uses the CCC to manage working capital

As a diagnostic to identify where cash is trapped. Tracking each of the three components separately (rather than just the combined CCC figure) lets a CFO pinpoint exactly where working capital is being tied up unnecessarily — slow-moving inventory, lax credit control on receivables, or paying suppliers faster than necessary — and target the specific lever that needs attention rather than working capital policy in the abstract.

As a forecasting tool for financing needs. A rising CCC, especially alongside revenue growth, signals that working capital requirements are growing and additional short-term financing (an overdraft, invoice discounting, or a revolving facility — see part (b)) may be needed to bridge the gap, even if the company is profitable on paper. Forecasting the CCC forward against a sales forecast lets a CFO anticipate this financing need rather than discovering it as a cash crunch.

As a lever for actively freeing up cash without external financing. Negotiating longer payment terms with suppliers, tightening credit terms or collection processes for customers, and improving inventory management (just-in-time ordering, better demand forecasting) can each shorten the CCC and release cash that's currently trapped in the operating cycle — often a cheaper source of funding than raising new debt or equity, since it doesn't carry an explicit cost of capital.

As a benchmark against industry peers and over time. Comparing the company's CCC to sector norms highlights whether working capital management is a competitive advantage or a drag relative to peers, and tracking it over time flags deteriorating collection or payment discipline before it becomes a serious liquidity problem.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly defines all three components of the CCC with the formula, correctly identifies that a longer DPO is favourable (unlike DIO and DSO), and explains at least two distinct ways a CFO actively uses the metric (diagnostic, forecasting, cash-release lever, benchmarking).
5–7	5–7	Correctly describes the CCC formula and components but with limited discussion of practical CFO application.
2–4	2–4	Vague or partial description of the cash conversion cycle without the specific formula or components.
0–1	0–1	No attempt, or confuses the CCC with an unrelated liquidity metric.

Part (b) **10 Marks**

Required: Evaluate the financing tools that are available to a company CFO to fund short and medium term financing gaps. What are the advantages and disadvantages of each?

FULL MODEL ANSWER

A CFO facing a short-to-medium term financing gap (typically arising from working capital needs, seasonality, or a temporary cash flow mismatch) has several tools available, each with a different cost/flexibility/security trade-off:

Trade Credit

Advantages: Effectively free financing (if paid within terms), widely available with minimal negotiation for an established supplier relationship, and doesn't require any formal credit application or security.

Disadvantages: Limited capacity (constrained by supplier goodwill and the size of the trading relationship), and taking excessively long credit risks damaging supplier relationships or losing early payment discounts, and can trigger the supplier tightening terms or refusing further credit.

Bank Overdraft

Advantages: Highly flexible — only drawn (and only incurring interest) when actually needed, quick to arrange for an existing banking relationship, and well suited to fluctuating, short-term cash needs.

Disadvantages: Technically repayable on demand, so it's not a reliable source for anything beyond the very short term; interest rates are typically higher than committed facilities; and banks may require security or covenants, and can withdraw or reduce the facility if the company's creditworthiness deteriorates — exactly when it's needed most.

Invoice Discounting / Factoring

Advantages: Converts receivables into immediate cash rather than waiting for customers to pay, scales automatically with sales volume (more invoices, more available financing), and (with factoring specifically) can shift the credit control and collection burden to the factor.

Disadvantages: More expensive than a straightforward loan on a like-for-like basis (discount fees plus service charges), factoring can alert customers to the arrangement (potentially signalling cash flow strain), and the amount available is inherently capped by the quality and volume of the receivables book.

Short-Term Bank Loan / Revolving Credit Facility

Advantages: A revolving facility offers a committed line the company can draw and repay repeatedly as needed within an agreed limit, giving more certainty than an overdraft while still remaining flexible, and is well suited to a recurring or predictable medium-term gap.

Disadvantages: Requires a credit application and typically covenants or security, usually carries a commitment fee on the undrawn portion, and the facility itself has a finite term after which it must be renegotiated or refinanced.

Commercial Paper

Advantages: For a large, well-rated company, typically a cheaper source of short-term funding than a bank facility, since it's raised directly from money markets rather than through an intermediary.

Disadvantages: Only accessible to larger, highly-rated companies with an established credit rating and market presence — not a realistic option for smaller or mid-cap firms — and relies on continued market access, which can dry up in a stressed credit environment exactly when refinancing is most needed.

A strong answer doesn't just list tools in isolation but weighs them against each other for a given situation — e.g. trade credit and an overdraft suit a genuinely short, fluctuating gap, while a revolving facility or invoice discounting programme suits a more persistent, structural medium-term need.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Covers at least four distinct financing tools, each with a genuine advantage and disadvantage (not just restating the tool's mechanics), and shows some comparative judgement about which tool suits which kind of financing gap.
5–7	5–7	Covers two or three tools adequately but with limited advantages/disadvantages or no comparative judgement.
2–4	2–4	Names financing tools without meaningfully evaluating advantages and disadvantages.
0–1	0–1	No attempt, or confuses short/medium-term tools with long-term financing.

Part (c) **10 Marks**

You are the CFO of a company that requires additional €200 million finance for long term expansion. What are the considerations in deciding whether to raise debt or equity?

FULL MODEL ANSWER

Facing a €200 million long-term funding need, the choice between debt and equity turns on several factors that connect directly back to the capital structure theory discussed in Question 1(f):

Cost of capital and the tax shield. Debt is typically cheaper than equity on a pure cost-of-capital basis, and interest payments are tax-deductible while dividends are not — both push toward debt, all else equal. But this benefit has to be weighed against how much existing leverage the company already carries; adding €200m of new debt on top of an already-geared balance sheet increases financial risk and the cost of financial distress far more than the same amount added to a lightly-levered balance sheet.

Impact on financial risk, credit rating, and existing covenants. A large debt raise increases fixed financial obligations (interest and principal repayment) regardless of how the expansion actually performs, raising the risk of default in a downturn. It may also breach existing debt covenants or trigger a credit rating downgrade, which itself raises the cost of all the company's existing and future debt — an indirect cost that has to be weighed alongside the direct interest cost of the new borrowing.

Dilution of control and ownership. Raising €200m in new equity dilutes existing shareholders' ownership percentage and voting control — a significant consideration for a founder-controlled company, or one where the board is wary of a new large shareholder gaining influence. Debt preserves control entirely, since debtholders have no equity voting rights (absent a covenant breach).

Certainty and risk-sharing with the expansion's outcome. Debt requires fixed repayments regardless of how the expansion performs, concentrating all the downside risk on existing shareholders if the expansion underperforms. Equity, by contrast, shares the business risk of the expansion with the new investors — if the expansion disappoints, equity investors bear part of that shortfall through a lower return, rather than the company being contractually obligated to pay a fixed amount regardless of outcome.

Financial flexibility for the future. Using up debt capacity now for this expansion leaves less capacity to respond to future opportunities or shocks without straining the balance sheet further. A CFO should weigh not just whether €200m of new debt is serviceable today, but whether it leaves adequate headroom for whatever comes next.

Signalling effects and market timing. Per Myers and Majluf (1984), issuing new equity can be read by the market as a signal that management believes the shares are overvalued, typically triggering a negative share price reaction — a real cost of equity issuance beyond the explicit costs of underwriting and fees. Current market receptiveness (discussed further in part (d)) — whether equity markets are open and receptive, or whether credit markets are offering attractive terms — also shapes which option is realistically available at a given point in time, independent of the theoretical cost/benefit analysis.

Issuance costs and speed of execution. Equity issuance (particularly a public offering) typically involves higher direct costs (underwriting fees, prospectus preparation, roadshow costs) and takes longer to execute than arranging a bank loan or private debt placement, which matters if the expansion has a time-sensitive element.

A well-rounded answer for €200m specifically would also flag that this is likely too large to fund solely through short-term tools from part (b) — at this scale, the realistic choice is between a syndicated term loan, a public or private bond issue, and a public or private equity raise (or some blend, including hybrid instruments like convertibles, which combine features of both and are explored further in part (d)).

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Covers at least four distinct, well-explained considerations (cost of capital/tax shield, financial risk/credit rating, control dilution, risk-sharing, flexibility, signalling) with clear reasoning for each, rather than a superficial list.
5–7	5–7	Covers two or three considerations adequately but without connecting them to the specific €200m scale or the company's existing position.
2–4	2–4	Generic debt-vs-equity discussion with minimal reference to the considerations a CFO would actually weigh in practice.
0–1	0–1	No attempt, or shows no understanding of the debt/equity trade-off.

Part (d) **20 Marks**

You are the CFO of a UK company listed on the London Stock Exchange. Comment on current market conditions and likely investor receptiveness for raising finance through debt, equity and convertibles.

FULL MODEL ANSWER

This part specifically asks for **current** market conditions, which change over time — the commentary below reflects the environment around Winter 2025/early 2026, the period this exam sits in. A very reasonable answer would use whatever conditions actually prevailed when the answer was written, provided the reasoning connecting conditions to receptiveness for each financing type is sound; the examiner is very unlikely to want a memorised, dated commentary, but rather evidence the candidate can read live market conditions and translate them into financing implications.

The Macro and Rate Backdrop

Monetary policy has been easing, but gradually and with real disagreement on the committee. The Bank of England cut Bank Rate to 3.75% in December 2025 (its fourth cut of the year, down from 4.75% in January 2025), but the decision passed by only a 5–4 vote, with four MPC members preferring to hold at 4% given CPI inflation still running at 3.2% — above the 2% target. The Bank's own guidance was for a “gradual downward path” rather than rapid cuts, with economists' consensus pointing to perhaps two further cuts in 2026 rather than an aggressive easing cycle.

Long-term gilt yields have been elevated for much of 2025, driven more by fiscal than monetary factors. 10-year and longer gilt yields rose to their highest levels in over a decade through the first three quarters of 2025, driven by concerns over the Government's fiscal headroom and gilt issuance needs rather than by the path of the policy rate itself. Term premia fell back somewhat in Q4 2025 after the Government scaled back long-dated gilt issuance and the Autumn Budget clarified some fiscal uncertainty, but the underlying message for a corporate treasurer is that the long end of the curve has been more volatile and structurally higher than short-term policy rates would suggest on their own.

Growth has been weak, which cuts both ways for financing conditions. UK GDP growth was close to flat through late 2025 (0.1% in Q3, a slight fall in the three months to October), with unemployment rising to its highest level since 2015. Weak growth supports the case for further rate cuts (helpful for the cost of new debt), but also makes equity investors more selective about which growth stories they're willing to back, and increases credit risk sensitivity in debt markets.

Receptiveness for Debt

Conditions are reasonably supportive at the short-to-medium end, more mixed at long maturities. With Bank Rate on a gradual downward path and easing largely priced in, shorter and medium-dated corporate borrowing costs have been falling through 2025, and the London Stock Exchange saw bond issuance reach its highest annual volume since 2008 in 2025 — a strong signal that debt markets have been genuinely open for issuers able to access them. Longer-dated debt is a different story: elevated long gilt yields (the benchmark long-term borrowers price off) mean the cost of very long-dated corporate debt has stayed higher than the short-rate picture alone would suggest, so a CFO raising long-tenor debt should expect a meaningfully steeper cost than for shorter maturities right now.

Receptiveness for Equity

The UK IPO and equity issuance market has been recovering from a subdued base, but investors remain selective. 2025 was described by EY as having been in a “wait and see” mode for much of the year amid geopolitical and macroeconomic uncertainty, but momentum built through the back half: London saw its strongest half-year for IPO issuance since 2021 in H2 2025, with total 2025 IPO proceeds of roughly £2.1bn (up 170% year-on-year from £777.7m in 2024), including notable listings like Princes Group and Shawbrook Group, both of which moved straight into the FTSE 250 within weeks. Regulatory reform — including a three-year stamp duty exemption for newly-listed companies announced in the Autumn Budget — has been specifically designed to improve issuer and investor confidence. The overall picture for a CFO considering an equity raise is one of genuinely improving, but still selective and far-from-buoyant, sentiment: well-prepared issuers with a clear equity story and strong governance are better placed than the market as a whole would suggest from headline volumes alone.

Receptiveness for Convertibles

Convertibles sit naturally between the two conditions above, and can bridge a genuine pricing gap. A convertible bond lets a CFO lock in a coupon lower than straight debt (since the investor also gets an equity conversion option) while avoiding the immediate dilution and negative signalling that can accompany a straight equity issue in a still-selective equity market. Given elevated long-term borrowing costs described above and only-selective equity market receptiveness, a convertible can let an issuer access capital more cheaply than straight debt without fully testing an equity market that, while improving, isn't yet uniformly open to all issuers. The tightening of the UK Listing Rules' investor-protection provisions around convertible securities (e.g. extended announcement deadlines for repurchases and redemptions under recent FCA reform) also reflects a market structure that has been actively evolving to support this kind of hybrid issuance.

A complete answer draws an explicit connecting thread across all three: the current environment (falling but still-elevated short rates, structurally high long yields, and a recovering-but-selective equity market) makes a **convertible** a particularly well-timed instrument right now for an issuer that doesn't want to pay full long-dated debt pricing but also doesn't want to test an equity market that, while improving, still rewards only the strongest equity stories.

How the 20 Marks Are Likely Allocated

Tier	Marks	What separates this tier
15–20	15–20	Demonstrates genuine awareness of prevailing conditions (rate direction, gilt yield behaviour, IPO/equity market sentiment) at the time of writing, connects those conditions specifically to receptiveness for each of debt, equity, and convertibles, and draws a coherent overall view rather than three disconnected mini-essays.
10–14	10–14	Shows awareness of general market direction (e.g. rates falling, equity markets recovering) but with limited specificity, or covers two of the three instruments well but the third only superficially.
5–9	5–9	Generic commentary on debt/equity/convertibles with little evidence of current market awareness.
0–4	0–4	No attempt, or answer shows no awareness that market conditions are time-varying at all.

Question 3 Total: 50 Marks